[*] **This figure, now known as the "dividend payout ratio," has dropped considerably since Graham's day as American tax law discouraged investors from seeking, and corporations from paying, dividends. As of year-end 2002, the payout ratio stood at 34.1% for the S & P 500-stock index and, as recently as April 2000, it hit an all-time low of just 25.3%. (See www.barra.com/research/fundamentals.asp.) We discuss dividend policy more thoroughly in the commentary on Chapter 19.**

[*] **Why is this? By "the rule of 72," at 10% interest a given amount of money doubles in just over seven years, while at 7% it doubles in just over 10 years. When interest rates are high, the amount of money you need to set aside today to reach a given value in the future is *lower*—since those high interest rates will enable it to grow at a more rapid rate. Thus a rise in interest rates today makes a future stream of earnings or dividends less valuable—since the alternative of investing in bonds has become relatively more attractive.**

[*] **These industry groups, ideally, would not be overly dependent on such unforeseeable factors as fluctuating interest rates or the future direction of prices for raw materials like oil or metals. Possibilities might be industries like gaming, cosmetics, alcoholic beverages, nursing homes, or waste management.**

[1] **Because so few of today's individual investors buy—or should buy—individual bonds, we will limit this discussion to stock analysis. For more on bond funds, see the commentary on Chapter 4.**

[2] **You should also get at least one year's worth of quarterly reports (on Form 10-Q). By definition, we are assuming that you are an "enterprising" investor willing to devote a considerable amount of effort to your portfolio. If the steps in this chapter sound like too much work to you, then you are not temperamentally well suited to picking your own stocks. You cannot reliably obtain the results you imagine unless you put in the kind of effort we describe.**

[3] **You can usually find details on acquisitions in the "Management's Discussion and Analysis" section of Form 10-K; cross-check it against the footnotes to the financial statements. For more on "serial acquirers," see the commentary on Chapter 12.**

[4] **To determine whether a company is an OPM addict, read the "Statement of Cash Flows" in the financial statements. This page breaks down the company's cash inflows and outflows into "operating activities," "investing activities," and "financing activities." If cash from operating activities is consistently negative, while cash from financing activities is consistently positive, the company has a habit of craving more cash than its own businesses can produce—and you should not join the "enablers" of that habitual abuse. For more on Global Crossing, see the**